

Testahil — Borouge plc (ADX: BOROUGE)

Companion model · Independent Valuation Study · E

What this workbook is. A transparent companion to the input; every black cell is a formula; green cells link a row says otherwise — Borouge reports in US dollars are converted at the pegged rate held on Assumption

IT IS FORMULA-DRIVEN, AND THAT CLAIM IS TESTED so you can change a blue cell on Assumptions and work from the risk-free rate NET of the sovereign default; the cost of debt is taxed in the sheet; the weights come from the terminal rate is built from its own components; the discount from revenue through EBITDA, EBIT, NOPAT and free block chains from reinvestment = growth / return on ratio and per-share figure is a formula. A driver test the whole workbook and confirms the headline moves in

THREE CLASSES OF CELL ARE PASTED, and it is with

1. Audited and disclosed history — the primary record disclosed and derivable, the DISCLOSED figure is
2. One output of the unit build: the split of other production leg, fitted by least squares across the three audits read as a grid, so its two coefficients sit on Assumptions every year of other production cost, in both constant
3. Whole-model re-runs: the probability map, the sequence behind the normalised-earnings lens, and the second those cells is a complete revaluation or a complete grid. THESE DO NOT REDRAW WHEN A DRIVER moves the statements, the bridge and all four lenses repeat here.

Anything else pasted would be a defect.

THE COST OF CAPITAL IS FLAT, DELIBERATELY, A down over the forecast because the currency is normal company: the dirham is hard-pegged to the dollar, B debt. There is no rate normalisation to glide along, so a live formula pointing at one built cost of capital, and is there so a reader can see the rate used in each year

HOW THE COMPANY IS VALUED, AND WHY. Borouge polyethylene and polypropylene at one integrated company countries. There is no lending book, no property portfolio one operating-company lens — discounted cash flow

against book value and sustainable return, through-c

TWO THINGS TO KNOW BEFORE READING AN

- * BOROUGE 4 IS NOT OWNED. The 1.4 million ton OMV. Borouge plc operates it under an Asset Usage Bridge sheet as a fee stream, never consolidated and footing that the company's OWN capacity is fixed.
- * THE STUDY PUBLISHES TWO ANSWERS, NOT C and a sector bottom-up beta gives a materially different way to a value per share, side by side, everywhere single most consequential judgement in the study.

SHEET GUIDE

Summary

Fundamental Valuation

Assumptions

SOTP Bridge

Segments

Relative & Normalized

DCF

Income Statement

Balance Sheet

Cash Flow

Summary Financials

Monte Carlo

Sensitivity

Per-Share & Ratios

Peer & Sector

educational analysis · Not investment advice

the Borouge valuation study. Every blue cell is an across sheets. Amounts are USD million unless a and its shares trade in dirhams, so per-share figures ns.

TED. Every figure derivable from a driver is a live formula, watch the model reprice. The cost of equity is built spread, beta and the premium rather than pasted; come from net debt and market capitalisation; the discount factors compound; the DCF waterfall chains from cash flow to the firm to present value; the terminal value capital; the statements roll forward; and every perturbation perturbs every input in place, re-evaluates the the right direction, with no dead inputs.

worth knowing exactly which.

word, not a calculation. Where a line is both is carried.

production cost into a fixed leg and a per-tonne over several years. A three-point regression cannot be options and everything downstream of them — reductions — is formula.

sensitivity grids, the mid-cycle revenue and EBITDA factor-beta re-solve of the whole waterfall. Each of the simulation, so it cannot be a formula in a

3 CHANGES — edit an input on Assumptions and the waterfall, price, but those grids keep the values printed

AND THE SHEET SHOWS WHY. Some models glide the discount rate realising off a high policy rate. That is not this Borouge reports in dollars, and its debt is dollar so the per-year discount rate on the DCF sheet is used the discount factors compound off it. The row is rather than infer it.

1ge is a single-segment polyolefin operating company: it makes complex at Ruwais and sells them in more than ninety portfolio and no investment-holding leg, so it takes built from tonnes and dollars per tonne — cross-read

cycle multiples and normalised earnings power.

MY NUMBER.

ne expansion next door is owned 70% by ADNOC and 30% by
ge Agreement and earns a fee. It is valued on the
as capacity, and terminal growth is set on the

ONE. The share's own regression beta is statistically weak,
ferent cost of capital. Both are carried all the
they appear. Averaging them would hide the

the headline: four lenses, both betas, and the terminal-value share
the cost of capital built line by line, and the lenses assembled
every driver. Blue cells here are what you change
enterprise value to equity, with the Borouge 4 fee stream separate
the unit build: tonnes, prices and cost per tonne, by product
the through-cycle triangulation and normalised earnings power
the waterfall and the terminal block, both constructions
three audited years and five forecast years
three audited years and five forecast years, rolled forward
linked to the waterfall, not restated
the compact view
the probability map for the traded price (a re-run, not a formula)
value against cost of capital, growth, premium and utilisation
per-share figures and returns, all formulas
the eleven listed peers and why the naive median is rejected

Summary valuation

Value per share in AED. Every figure on this sheet is a live link or formula.

THE FOUR LENSES, ACROSS THE BETA THE STUDY CONTESTS

Lens	Sector bottom-up beta
Discounted cash flow — normalisation	1.49
Discounted cash flow — prolonged disruption	1.50
Book value and sustainable return	1.35
Normalised earnings power	1.29
Relative multiples (independent of beta)	1.73

THE FIELD AGAINST THE MARKET

Lowest lens reading	1.29
Median lens reading	1.73
Highest lens reading	3.33
Closing price, 7 August 2026	2.40
Median lens reading against the close	(28.0%)

THE COST OF CAPITAL BEHIND IT

Weighted average cost of capital — own-stock beta	5.48%
Weighted average cost of capital — sector bottom-up beta	9.03%
Normalised risk-free rate	4.42%
Equity risk premium (rating basis)	4.87%
Terminal growth rate	2.00%

THE PROBABILITY MAP FOR THE TRADED PRICE

Horizon	5th
One month	2.22
Three months	2.07

The two constructions and the two betas are shown side by side and are never averaged. The sp



Own-stock beta	Terminal value % of EV
----------------	------------------------

3.33	72.7%
3.32	72.0%
2.84	
3.05	
1.73	



Median	95th	Above the close
2.39	2.58	47.7%
2.38	2.74	46.5%

read between them is the honest width of the answer.

[Redacted]

[Redacted]

[Redacted]

[Redacted]

[Redacted]

Fundamental valuation — the cost of capital, built line 1

Nothing on this sheet is pasted. Every rate is assembled from the inputs on Assumptions

RISK-FREE RATE, NORMALISED

US 10-year Treasury yield

Less: US adjusted default spread

Normalised risk-free rate

EQUITY RISK PREMIUM (BOTH BASES PUBLISHED)

Mature-market equity risk premium

Plus: UAE country risk premium (rating basis)

Equity risk premium — rating basis

Equity risk premium — default-spread basis

BETA — THE STUDY'S CENTRAL CONTESTED JUDGEMENT

The share's own five-year weekly regression beta

Sector unlevered beta (global chemicals)

Re-levered at the company's debt-to-equity and tax rate

COST OF EQUITY, COST OF DEBT AND THE WEIGHTS

Cost of equity = risk-free rate + beta x premium

Pre-tax cost of debt (marginal)

After-tax cost of debt

Market capitalisation (USD million)

Net debt (USD million)

Equity weight

Debt weight

Weighted average cost of capital

The two columns are the study's central contested judgement. They are carried side by side

THE FOUR LENSES ASSEMBLED

Lens

Discounted cash flow — normalisation

Discounted cash flow — prolonged disruption

Book value per share (USD)

Sustainable return on equity (three audited years)

Justified price to book = (return - growth) / (cost of equity - growth)

Book value lens — value per share (AED)

Normalised earnings power — value per share (AED)

Relative multiples — value per share (AED), independent of beta

THE FIELD

Lowest lens reading (AED)

Median lens reading (AED)

Highest lens reading (AED)

Closing price, 7 August 2026 (AED)
Median lens reading against the close

by line

1.

4.65%

-0.23%

4.42% Country risk is charged once, in the premium below — never twice

4.23%

0.64%

4.87%

4.65% Published alongside: no sovereign credit-default-swap quote exists for

0.271 R-squared 0.088 on 216 weekly observations — statistically weak

1.002

1.121

Own-stock beta	Sector bottom-up beta
----------------	-----------------------

5.74%

9.88%

5.55%

5.55%

3.96%

3.96%

19,643

3,275

85.7%

14.3%

5.48%

9.03%

side to a value per share everywhere they appear and are never averaged into one number.

Sector bottom-up	Own-stock beta
------------------	----------------

1.49

3.33

1.50

3.32

0.1240

25.3%

2.96x

6.24x

1.35

2.84

1.29

3.05

1.73

1.73

1.29

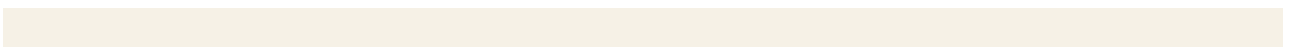
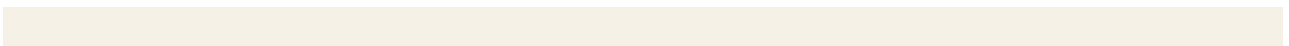
1.73

3.33

2.40
(28.0%)



or this sovereign



Assumptions — every driver in the model

Blue = input. Change a blue cell and the whole workbook reprices. Amounts in USD million unless state

MARKET AND SHARE COUNT

Closing price, 7 August 2026	2.40
Dirham per US dollar (pegged since November 1997)	3.6725
Ordinary shares in issue	30,058

COST OF CAPITAL — INPUTS; THE BUILD IS ON FUNDAMENTAL VALUATION

US 10-year Treasury yield	4.65%
US adjusted default spread	0.23%
Mature-market equity risk premium	4.23%
UAE country risk premium	0.64%
UAE adjusted default spread	0.42%
Beta — the share's own five-year weekly regression	0.271
Beta — sector bottom-up, unlevered	1.002
Debt to equity at market value	16.7%
Marginal pre-tax cost of debt	5.55%
Effective tax rate	28.7%

CAPACITY AND THE UNIT BUILD

Polyethylene nameplate capacity	2,750
Polypropylene nameplate capacity	2,230
Realisation residual — polyethylene	1.0676
Realisation residual — polypropylene	1.0321
Other production cost — fixed leg	663
Other production cost — per tonne of production	0.2006
Feedstock cost per tonne, FY2025 actual	256.2
Polypropylene benchmark, FY2025 actual	851
Contracted ethane real escalation	0.00%
UAE consumer inflation	2.10%

FIXED COSTS, WORKING CAPITAL AND CAPITAL SPEND

General and administrative, FY2025 excluding depreciation	188.0
Other income, FY2025	26.3
Other revenue, FY2025	44.0
Days sales outstanding	50.9
Days inventory	61.8
Days payable	92.5
Capital expenditure guide, 2026	300
Maintenance capital expenditure, steady state	320
Property, plant and equipment, opening	6,082
Depreciation rate on the property balance	6.58%

TERMINAL BLOCK AND THE BRIDGE

Terminal growth rate	2.00%
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Terminal return on capital	12.0%
Net debt	3,275
Lease liabilities	222.7
Non-controlling interests	26.8
Borouge 4 earnings accretion after ramp-up	10.0%
Borouge 4 cumulative net profit, first three years	400

FORECAST DRIVERS — NORMALISATION CONSTRUCTION

	2026
Polyethylene utilisation	86.0%
Polypropylene utilisation	90.0%
Polyethylene benchmark (USD/t)	1,010
Polypropylene benchmark (USD/t)	1,050
Polyethylene premium (USD/t)	260
Polypropylene premium (USD/t)	165
Selling and distribution (USD/t sold)	150
Share of feedstock bought at market price	55.0%

FORECAST DRIVERS — PROLONGED-DISRUPTION CONSTRUCTION

	2026
Polyethylene utilisation	80.0%
Polypropylene utilisation	86.0%
Polyethylene benchmark (USD/t)	1,060
Polypropylene benchmark (USD/t)	1,105
Polyethylene premium (USD/t)	300
Polypropylene premium (USD/t)	195
Selling and distribution (USD/t sold)	172
Share of feedstock bought at market price	62.0%

Every other number in this workbook is computed from the cells above, from the audited history on the

d.

AED per share
AED/USD
million

N

the dollar risk-free anchor
subtracted to normalise the risk-free rate

country risk enters ONCE, here
the alternative premium basis
weak: R-squared 8.8%
global chemicals, corrected for cash
for re-levering the sector beta
long dollar rate plus an arm's-length margin
the company's own three-year mean, not the 9% headline

kt a year
kt a year
three-year mean; computed on Segments
three-year mean; computed on Segments
PASTED CLASS 2: least squares across three audited years
PASTED CLASS 2: USD million per kt, same regression
USD per tonne produced — the base both legs escalate from
the traded leg escalates on THIS, not on consumer inflation
zero: the pricing formula is not disclosed, so none is invented
escalates the DOMESTIC fixed cost leg only

USD million
USD million
USD million, run off at 10% a year
days, from the audited statements
days
days
USD million
USD million a year
USD million at 31 December 2025
the H1-2026 charge annualised, over the opening property balance

long-run dollar inflation; owned capacity is fixed

sets the reinvestment the terminal block must fund

USD million at 30 June 2026

USD million

USD million at book

the sponsors' own figure

USD million; the second quantification

2027	2028	2029	2030
102.0%	103.0%	103.0%	103.0%
100.0%	101.0%	101.0%	101.0%
900	860	870	885
930	890	900	915
210	200	200	200
145	140	140	140
100	82	83	85
35.0%	30.0%	30.0%	30.0%

2027	2028	2029	2030
85.0%	93.0%	100.0%	102.0%
90.0%	96.0%	100.0%	101.0%
1,030	960	910	890
1,070	995	940	920
275	240	215	200
180	160	148	140
165	140	110	90
58.0%	45.0%	35.0%	30.0%

statement sheets, or is one of the three pasted classes named on READ FIRST.

Enterprise value to equity value

Borouge is one operating business plus one operator fee stream. The fee stream is va

THE BOROUGE 4 FEE STREAM — QUANTIFIED TWO WAYS, TE

From the disclosed three-year cumulative net profit

From the disclosed post-ramp-up earnings accretion

Steady-state fee carried — the LOWER of the two

Ramp-up fraction

Fee to Borouge plc (USD million)

Present value of the fee

Present value of the explicit fee years

Present value of the fee beyond the forecast

Value of the Borouge 4 fee stream

THE BRIDGE — BOTH CONSTRUCTIONS, BOTH BETAS

Enterprise value

Less: net debt

Less: lease liabilities

Less: non-controlling interests

Equity value

Shares in issue (million)

Value per share (USD)

Value per share (AED)

Terminal value as a share of enterprise value

The terminal value share is shown in the bridge itself, live, so a reader can see at a gl

lued separately and never consolidated as owned capacity.

IE LOWER CARRIED

400.0

119.5

119.5 The sponsors' two figures do not agree; the study does not average t

2026	2027	2028	2029	
10.0%	30.0%	60.0%	100.0%	
11.9	35.8	71.7	119.5	
11.3	32.2	61.1	96.5	
292.5				
2,677.3				
2,969.8				

Normalisation, o	Normalisation, s	Prolonged, own l	Prolonged, secto
30,768	15,724	30,730	15,772
(3,275)	(3,275)	(3,275)	(3,275)
(222.7)	(222.7)	(222.7)	(222.7)
(26.8)	(26.8)	(26.8)	(26.8)
27,243	12,199	27,205	12,248
30,058	30,058	30,058	30,058
0.9064	0.4059	0.9051	0.4075
3.33	1.49	3.32	1.50
72.7%	59.7%	72.0%	58.9%

lance how much of each answer rests on the years beyond the forecast rather than inside it.



hem

2030

100.0%

119.5

91.5



r beta

Segments — the unit build, tonnes and dollars per tonne

Borouge reports as one operating segment. Volume and price are disclosed by product; cost is a

DISCLOSED HISTORY (PASTED — THE PRIMARY RECORD)

	FY2023
Polyethylene sold (kt)	2,715
Polypropylene sold (kt)	2,285
Total production (kt)	5,116
Polyethylene benchmark (USD/t)	914
Polypropylene benchmark (USD/t)	891
Polyethylene premium (USD/t)	215
Polypropylene premium (USD/t)	125
Polyethylene revenue (USD m)	3,276
Polypropylene revenue (USD m)	2,402
Feedstock (USD per tonne produced)	265.2
Selling and distribution (USD per tonne sold)	78.1

THE REALISATION RESIDUAL, COMPUTED FROM THAT HISTORY

	FY2023
Polyethylene: revenue per tonne / (benchmark + premium)	1.0688
Polypropylene: revenue per tonne / (benchmark + premium)	1.0346

The residual is the bridge from a published benchmark to the company's own printed top line. It

THE FORECAST UNIT BUILD — NORMALISATION CONSTRUCTION

	2026
Polyethylene volume (kt) = capacity x utilisation	2,365
Polypropylene volume (kt) = capacity x utilisation	2,007
Total volume (kt)	4,372
Polyethylene realised price (USD/t)	1,355.8
Polypropylene realised price (USD/t)	1,254.0
Feedstock (USD per tonne produced)	289.1

THE FORECAST UNIT BUILD — PROLONGED-DISRUPTION CONSTRUCTION

	2026
Polyethylene volume (kt) = capacity x utilisation	2,200
Polypropylene volume (kt) = capacity x utilisation	1,918
Total volume (kt)	4,118
Polyethylene realised price (USD/t)	1,451.9
Polypropylene realised price (USD/t)	1,341.7
Feedstock (USD per tonne produced)	303.6

Two escalators, because there are two physically different inputs: contracted ethane escalates o

located on the disclosed physical drivers.

FY2024	FY2025
3,072	3,053
2,253	2,322
5,216	5,055
898	822
897	851
197	224
150	134
3,559	3,436
2,421	2,368
246.9	256.2
88.5	77.2

FY2024	FY2025	Three-year mean
1.0580	1.0760	1.0676
1.0263	1.0353	1.0321

is computed here from disclosed revenue, volume, benchmark and premium — not assumed.

2027	2028	2029	2030
2,805	2,833	2,833	2,833
2,230	2,252	2,252	2,252
5,035	5,085	5,085	5,085
1,185.0	1,131.6	1,142.3	1,158.3
1,109.5	1,063.1	1,073.4	1,088.9
264.5	259.7	260.6	262.0

CTION

2027	2028	2029	2030
2,338	2,558	2,750	2,805
2,007	2,141	2,230	2,252
4,345	4,698	4,980	5,057
1,393.2	1,281.1	1,201.0	1,163.7
1,290.1	1,192.1	1,122.9	1,094.0
294.4	275.7	265.6	262.4

in its own terms, purchased propylene on the propylene benchmark. A single blended cost index ac

ross both would manufacture a margin t

Relative multiples and normalised earnings power

The multiple is triangulated on the sheet from three through-cycle anchors, and averaged here rather

WHY THE PEER MEDIAN IS REJECTED

Listed peers observed	11
Of which loss-making on trailing net income	9
Of which enterprise value to EBITDA is undefined	2
Naive median of whatever prints	13.39x

THE THROUGH-CYCLE TRIANGULATION

LyondellBasell ten-year median EV/EBITDA	7.18x
Industries Qatar current EV/EBITDA	9.90x
Damodaran global Chemical (Diversified) sector EV/EBITDA	8.66x
Adopted multiple — the median of the three anchors	8.66x

THE RELATIVE LENS

Mid-cycle EBITDA (USD million)	2,042
Enterprise value = multiple x mid-cycle EBITDA	17,671
Less: net debt, leases and non-controlling interests	(3,525)
Equity value	14,146
Relative lens — value per share (AED)	1.73

NORMALISED EARNINGS POWER

Mid-cycle is DERIVED from the audited record, not asserted: utilisation is the mean of the two most re

Mid-cycle polyethylene utilisation	106.0%
Mid-cycle polypropylene utilisation	99.0%
Mid-cycle polyethylene benchmark (USD/t)	878
Mid-cycle polypropylene benchmark (USD/t)	880
Through-the-cycle polyethylene premium (USD/t)	200
Through-the-cycle polypropylene premium (USD/t)	140
Mid-cycle selling and distribution (USD/t)	81.3
Mid-cycle depreciation and amortisation (USD m)	400
Mid-cycle polyethylene volume (kt)	2,915
Mid-cycle polypropylene volume (kt)	2,208
Mid-cycle volume (kt)	5,123
Mid-cycle revenue (USD million)	5,678
Less: feedstock	1,312
Less: other production cost	1,691
Less: selling and distribution	416
Less: general and administrative	188.0
Mid-cycle EBITDA	2,071
Mid-cycle EBIT	1,671
Mid-cycle NOPAT	1,191
Enterprise value = NOPAT x (1 - reinvestment) / (cost of capital -	28,472
Normalised earnings lens — own-stock beta (AED)	3.05
Normalised earnings lens — sector bottom-up beta (AED)	1.29

Every line of the normalised block above is a live formula off the same capacity, realisation residual ar

than asserted.

Rejected: a median across collapsed denominators measures the trough, not the multiple

The third forecast year of each construction, averaged — the mid-point of the cycle the stud

percent audited years and the benchmark is the mean of the three audited annual averages. B

id cost stack the forecast uses. Change a driver on Assumptions and this lens moves with it.

ly models

oth therefore contain a turnaround year and a soft-price year, and ne

Discounted cash flow — the waterfall and the terminal block

USD million. Both constructions. Every cell below is a formula.

WATERFALL — NORMALISATION CONSTRUCTION

	2026
Revenue	5,763
Less: feedstock	1,264
Less: other production cost	1,554
Less: selling and distribution	656
Less: general and administrative	191.9
Add: other income	26.9
EBITDA	2,124
EBITDA margin = EBITDA / revenue	36.9%
Less: depreciation and amortisation	400
EBIT = EBITDA less depreciation and amortisation	1,724
NOPAT = EBIT x (1 - tax rate)	1,228
Add back: depreciation and amortisation	400
Less: capital expenditure	300
Less: increase in working capital	11.8
Free cash flow to the firm	1,317
Discount rate applied	5.48%
Discount factor	0.9480
Present value of free cash flow to the firm	1,248

TERMINAL BLOCK — NORMALISATION

Final-year NOPAT	1,197
Terminal NOPAT = final-year NOPAT x (1 + growth)	1,221
Reinvestment rate = growth / return on capital	16.7%
Terminal free cash flow = NOPAT x (1 - reinvestment rate)	1,018
Terminal value = terminal cash flow / (cost of capital - growth)	29,205
Present value of the terminal value	22,362
Present value of the explicit five years	5,436
Enterprise value of the owned business	27,798

WATERFALL — PROLONGED-DISRUPTION CONSTRUCTION

	2026
Revenue	5,807
Less: feedstock	1,250
Less: other production cost	1,503
Less: selling and distribution	708
Less: general and administrative	191.9
Add: other income	26.9
EBITDA	2,180
EBITDA margin = EBITDA / revenue	37.5%
Less: depreciation and amortisation	400
EBIT = EBITDA less depreciation and amortisation	1,780

NOPAT = EBIT x (1 - tax rate)	1,269
Add back: depreciation and amortisation	400
Less: capital expenditure	300
Less: increase in working capital	23.4
Free cash flow to the firm	1,345
Discount rate applied	5.48%
Discount factor	0.9480
Present value of free cash flow to the firm	1,275

TERMINAL BLOCK — PROLONGED DISRUPTION

Final-year NOPAT	1,185
Terminal NOPAT = final-year NOPAT x (1 + growth)	1,208
Reinvestment rate = growth / return on capital	16.7%
Terminal free cash flow = NOPAT x (1 - reinvestment rate)	1,007
Terminal value = terminal cash flow / (cost of capital - growth)	28,896
Present value of the terminal value	22,125
Present value of the explicit five years	5,562
Enterprise value of the owned business	27,687

VALUE PER SHARE — FOUR READINGS, NEVER AVERAGED

Construction and beta	Enterprise value
Normalisation, own-stock beta	30,768
Normalisation, sector bottom-up beta	15,724
Prolonged disruption, own-stock beta	30,730
Prolonged disruption, sector bottom-up beta	15,772

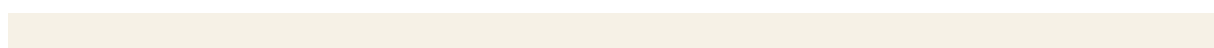
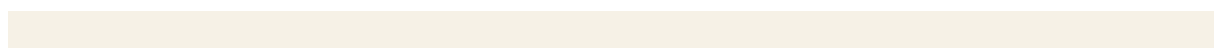
The sector-beta enterprise values are a complete re-solve of the same waterfall at the other cost of



2027	2028	2029	2030	
5,834	5,632	5,682	5,759	
1,332	1,321	1,325	1,332	
1,701	1,726	1,741	1,756	
504	417	422	432	
196.0	200.1	204.3	208.6	
27.4	28.0	28.6	29.2	
2,129	1,996	2,018	2,060	
36.5%	35.4%	35.5%	35.8%	
393	389	384	380	
1,735	1,608	1,634	1,680	
1,237	1,146	1,165	1,197	
393	389	384	380	
320	320	320	320	
(8.2)	(29.3)	5.4	8.9	
1,318	1,244	1,223	1,248	
5.48%	5.48%	5.48%	5.48%	
0.8987	0.8520	0.8077	0.7657	
1,185	1,060	988	956	

2027	2028	2029	2030	
5,882	5,860	5,836	5,754	
1,279	1,295	1,322	1,327	
1,563	1,648	1,720	1,750	
717	658	548	455	
196.0	200.1	204.3	208.6	
27.4	28.0	28.6	29.2	
2,154	2,087	2,070	2,042	
36.6%	35.6%	35.5%	35.5%	
393	389	384	380	
1,761	1,698	1,686	1,662	

1,255	1,210	1,202	1,185
393	389	384	380
320	320	320	320
2.9	(11.5)	(11.7)	(14.4)
1,325	1,290	1,277	1,259
5.48%	5.48%	5.48%	5.48%
0.8987	0.8520	0.8077	0.7657
1,191	1,099	1,032	964



Equity value	Value per share	Terminal value	Value per share (AED)
27,243	0.9064	72.7%	3.33
12,199	0.4059	59.7%	1.49
27,205	0.9051	72.0%	3.32
12,248	0.4075	58.9%	1.50

capital — a whole-model re-run, so they are carried as values rather than as a second live chain, an



id they do not redraw when a driver cha

Income statement — three audited years and five forecast years

USD million. Historical columns are the audited figures; forecast columns are formulas from the waterfall.

	FY2023	FY2024
Revenue	5,791	6,026
Cost of sales	3,627	3,491
Gross profit	2,164	2,535
Selling and distribution	399	472
General and administrative	183	193
Other income	17.4	54.0
Operating profit (EBIT)	1,597	1,921
Depreciation and amortisation	572	553
EBITDA	2,169	2,474
Net finance cost	196.2	175.6
Profit before tax	1,401	1,745
Tax	400	506
Profit after tax	1,001	1,239

The forecast operating lines are the same cells as the cash-flow waterfall, linked rather than restated. T



all.

FY2025	2026	2027	2028	2029
5,848	5,763	5,834	5,632	5,682
3,566	3,218	3,427	3,435	3,450
2,282	2,545	2,407	2,197	2,232
416	656	504	417	422
197	191.9	196.0	200.1	204.3
26.3	26.9	27.4	28.0	28.6
1,694	1,724	1,735	1,608	1,634
476	400	393	389	384
2,170	2,124	2,129	1,996	2,018
154.2	181.8	181.8	181.8	181.8
1,540	1,542	1,553	1,426	1,453
441	443	446	410	417
1,099	1,099	1,107	1,016	1,035

The finance cost below EBIT is the net debt balance at the marginal cost of debt — it does not



2030

5,759

3,468

2,292

432

208.6

29.2

1,680

380

2,060

181.8

1,498

431

1,068

It enters free cash flow to the firm, w

Balance sheet — three audited years and five forecast years

USD million. The forecast rolls property, working capital and net debt forward from the drivers; nothing

	FY2023	FY2024
Property, plant and equipment	6,677	6,293
Trade receivables	797	859
Inventory	645	641
Cash and equivalents	354	419
Total assets (memo: audited)	8,944	8,707
Trade payables	875	877
Borrowings	3,141	2,944
Equity	4,532	4,463
Net working capital	566	622
Net debt	2,787	2,526

Receivables, inventory and payables are projected from the days the audited statements themselves shc

j is plugged.

FY2025	2026	2027	2028	2029
6,082	5,982	5,909	5,840	5,776
808	804	813	785	792
524	477	514	516	519
427	288	151	(61)	(293)
8,489	7,551	7,387	7,081	6,795
955	714	769	772	777
2,958	2,958	2,958	2,958	2,958
4,089	3,862	3,643	3,333	3,043
377	567	559	529	535
2,531	2,670	2,807	3,019	3,251

ow — fifty-one days of sales, sixty-two days of inventory, ninety-two days of payables. Nothin



2030

5,716

803

523

(500)

6,542

783

2,958

2,784

544

3,458

g on this sheet is a balancing figure.

Cash flow — linked to the waterfall, not restated

USD million. The forecast columns are the same cells the valuation discounts.

	FY2023	FY2024
EBITDA	2,169	2,474
Less: increase in working capital		
Less: tax on operating profit	400	506
Cash from operations	1,769	1,913
Less: capital expenditure	199	167
Free cash flow to the firm	1,570	1,746
Less: net finance cost after tax		
Less: dividend		
Free cash flow to equity		

Cash from operations reconciles to free cash flow to the firm through capital expenditure alone, because



FY2025	2026	2027	2028	2029
2,170	2,124	2,129	1,996	2,018
	11.8	(8.2)	(29.3)	5.4
441	495	499	462	470
1,921	1,617	1,638	1,564	1,543
308	300	320	320	320
1,613	1,317	1,318	1,244	1,223
	129.5	129.5	129.5	129.5
	1,326	1,326	1,326	1,326
	(139)	(137)	(212)	(232)

e the working-capital movement and the tax on operating profit are already inside it. The di



2030

2,060

8.9

483

1,568

320

1,248

129.5

1,326

(207)

vidend is the company's own stated i

Summary financials

USD million. Every cell is a link or a formula.

	FY2023	FY2024
Revenue	5,791	6,026
EBITDA	2,169	2,474
EBITDA margin	37.5%	41.0%
EBIT	1,597	1,921
Profit after tax	1,001	1,239
Free cash flow to the firm	1,570	1,746
Capital expenditure	199	167
Net debt	2,787	2,526
Net debt to EBITDA	1.28x	1.02x



FY2025	2026	2027	2028	2029
5,848	5,763	5,834	5,632	5,682
2,170	2,124	2,129	1,996	2,018
37.1%	36.9%	36.5%	35.4%	35.5%
1,694	1,724	1,735	1,608	1,634
1,099	1,099	1,107	1,016	1,035
1,613	1,317	1,318	1,244	1,223
308	300	320	320	320
2,531	2,670	2,807	3,019	3,251
1.17x	1.26x	1.32x	1.51x	1.61x



2030

5,759
2,060
35.8%
1,680
1,068
1,248
320
3,458
1.68x

Probability map for the traded price

Each figure is the outcome of a 50,000-path simulation on the cleaned price history — a co

THE SIMULATION AS IT WAS RUN

Anchor close (AED)	2.40
Anchor date	2026-08-07
Paths	50,000
Risk-free rate	3.65%
Dividend yield (16.2 fils on the close)	6.75%
Net carry a year	-3.10%

PERCENTILE MAP (AED PER SHARE)

Horizon	Ends
One month	2026-09-07
Three months	2026-11-09

LEVEL-TOUCH LADDER — CHANCE THE PRICE TRADES THROUGH

Move from the close	Level (AED)
Up 5%	2.52
Down 5%	2.28
Up 10%	2.64
Down 10%	2.16
Up 15%	2.76
Down 15%	2.04
Up 20%	2.88
Down 20%	1.92

The percentile map and the touch ladder are simulation output. The level column beside t

complete re-run, not a formula. THIS MAP DOES NOT REDRAW WHEN A DRIVER CHANGES

5th	25th	Median	75th	
	2.22	2.33	2.39	2.46
	2.07	2.26	2.38	2.51

H A LEVEL AT ANY POINT

One month	Three months
20.2%	46.4%
21.1%	50.4%
3.0%	19.6%
2.4%	19.5%
0.4%	7.7%
0.2%	5.9%
0.1%	3.0%
0.0%	1.6%

hem is a live formula off the close, so the ladder's rungs move if the anchor changes even th



3.



95th	Above the close	
	2.58	47.7%
	2.74	46.5%



ough the probabilities beside them do not.

Sensitivity — each cell is a complete revaluation

THESE GRIDS DO NOT REDRAW WHEN A DRIVER CHANGES. Value per share in AED, normalisati

COST OF CAPITAL AGAINST TERMINAL GROWTH

Cost of capital \ growth	1.0%	1.5%	
	4.48%	3.75	4.18
	4.98%	3.23	3.54
	5.48%	2.83	3.05
	5.98%	2.51	2.67
	6.48%	2.25	2.37

REALISED PREMIUM OVER THE BENCHMARK (USD PER TONNE)

Shift	Normalisation	Prolonged discr
-100	2.16	2.18
-50	2.75	2.75
+0	3.33	3.32
+50	3.91	3.90
+100	4.49	4.47

UTILISATION

Shift	Normalisation	Prolonged discr
-10%	2.69	2.67
-5%	3.01	3.00
+0%	3.33	3.32
+5%	3.65	3.65
+10%	3.97	3.97

Every cell above is the whole valuation solved again at that pair of inputs. That is why they are value

on construction, own-stock beta.

2.0%	2.5%	3.0%	
	4.79	5.70	7.21
	3.94	4.50	5.34
	3.33	3.70	4.22
	2.87	3.13	3.47
	2.52	2.70	2.93

option

option

s rather than formulas, and why they are named as a pasted class on READ FIRST.

██████████

████████████████████

████████████████████

████████████████████

Per-share figures and returns

Every cell is a formula.

	FY2023	FY2024
Earnings per share (USD)	0.0333	0.0412
Earnings per share (AED)	0.122	0.151
Book value per share (AED)	0.554	0.545
Return on equity	22.1%	27.8%
Return on invested capital	15.7%	19.8%
EBITDA margin	37.5%	41.0%
Net debt to EBITDA	1.28x	1.02x
Dividend per share (AED)	0.162	0.162
Payout ratio	132.5%	107.0%

The dividend per share is the company's own stated annual intention of 16.2 fils. It is held flat rather than



FY2025	2026	2027	2028	2029
0.0366	0.0366	0.0368	0.0338	0.0344
0.134	0.134	0.135	0.124	0.126
0.500	0.472	0.445	0.407	0.372
26.9%	28.5%	30.4%	30.5%	34.0%
18.7%	18.8%	19.1%	18.0%	18.5%
37.1%	36.9%	36.5%	35.4%	35.5%
1.17x	1.26x	1.32x	1.51x	1.61x
0.162	0.162	0.162	0.162	0.162
120.6%	120.7%	119.8%	130.5%	128.1%

an grown, because the company states an intention, not a policy formula.



2030

0.0355
0.130
0.340
38.3%
19.1%
35.8%
1.68x
0.162
124.2%

Listed peers — a cross-check, never a source

Observed 9 August 2026. Shown to explain why the naive median is rejected, not to set the mu

Company	EV / EBITDA	Forward P/E
SABIC (Tadawul 2010)	10.83x	24.65x
Saudi Kayan (2350)	32.52x -	
Yansab (2290)	12.24x	33.04x
Industries Qatar (IQCD)	9.90x	17.04x
LyondellBasell (LYB)	12.96x	7.42x
Dow Inc (DOW)	13.39x	13.74x
Formosa Plastics (1301)	55.97x	14.80x
LG Chem (051910)	13.39x	15.48x
Petronas Chemicals (PCHEM)	22.92x	21.18x
Westlake (WLK)	-	20.34x
Braskem (BAK)	-	-
Median of the multiples that print	13.39x	REJECTED — see Rel

BOROUGE ON THE SAME BASIS, FOR CONTRAST

EV / EBITDA	12.02x
Forward P/E	9.19x
Dividend yield	6.8%
EBITDA margin	33.1%

Borouge earns an EBITDA margin roughly three times the peer group's while nine of the eleven



ultiple.

Price to book	Dividend yield	EBITDA margin	Net margin
1.02x	4.4%	13.9%	(19.7%)
0.99x	-	6.0%	(30.1%)
1.61x	6.7%	20.4%	4.9%
1.86x	6.4%	-	-
1.80x	4.6%	7.7%	(1.1%)
1.34x	4.8%	6.6%	(3.1%)
0.91x	0.9%	1.6%	(4.0%)
0.43x	0.7%	10.0%	(4.5%)
0.97x	1.6%	5.1%	(6.4%)
1.14x	2.7%	(0.7%)	(10.9%)
-	-	(0.1%)	(13.7%)

ative & Normalized



n are loss-making. That is the advantaged-feedstock position, and it is the reason a pe



Loss-making

- yes
- yes
- no
- no
- yes
- yes
- yes
- yes
- yes
- yes
- yes



er median cannot be applied to it directly.